

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$19.45 ▼ 1.24%	12M Price Target \$22.00	52-Week Range \$10.30 – \$58.15	Market Cap \$6.46B
------	-----------------	-----------------------------	------------------------------------	-----------------------

RGTI: Insider Selling Cluster Tempers Quantum Rally; Reiterate Hold

WHAT'S CHANGED

- RGTI down -19.5% over the last 5 sessions (\$24.16 → \$19.44) on heavy volume (avg ~43M shares), unwinding much of the post-earnings 3.3% gain flagged by Zacks today.
- Cluster insider selling: Director Johnson sold \$2.6M on 6/8 and CEO Kulkarni sold \$1.49M on 6/1 — first material insider distribution near recent highs, contrasting with bullish near-term options flow (P/C 0.39).

IMPLICATIONS

The \$100M government funding narrative (Motley Fool) provides fundamental support for the quantum thesis, but the divergence between bullish retail-flavored options flow and CEO/Director cluster selling at \$21–24 suggests insiders view current levels as full value. With the stock sitting at only 19% of its 52-week range and risk-off sentiment pressuring Nasdaq (per 6/9 Fool note), RGTI's high-beta, pre-commercial profile makes it particularly vulnerable to liquidity-driven drawdowns despite improving narrative. Near-term, expect RGTI to trade more on quantum sector sentiment (IONQ, QBTS, QUBT correlation) than on company-specific fundamentals.

VALUATION

At \$6.46B market cap on ~\$18M FY26E revenue, RGTI trades at ~360x EV/Revenue — extreme even for pre-commercial deep-tech, and roughly 2–3x richer than where comparable quantum names traded pre-2024 hype cycle. Our \$22 PT applies a ~300x EV/Revenue multiple on FY27E ~\$32M, implying modest +13% upside; multiple compression toward 200x (more sustainable) yields downside to ~\$14. Multiple expansion requires demonstrable commercial QPU revenue inflection, not just government grant flow.

KEY RISKS

- Pre-revenue/cash-burn risk: continued dilution likely given negative FCF profile and need to fund qubit roadmap.
- Insider distribution signal: CEO + Director selling within 8 days near local highs implies asymmetric information risk.
- Quantum sector correlation: any IONQ disappointment (Zacks profit-taking note today) drags entire cohort regardless of RGTI-specific developments.

RECENT NEWS

- Why It May be the Right Time to Book Profits in IonQ Stock Zacks · 2026-06-10 19:00
- Buy the Dip on This Quantum Computing Stock Schaeffer's Investment Research · 2026-06-10 17:55

Key Data

Price (USD)	\$19.45
12M Price Target	\$22.00
Upside / (Downside)	+13.1%
Market Cap	\$6.46B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.35)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$21.00	\$16.00
6 Months	\$32.00	\$22.00	\$13.00
1 Year	\$40.00	\$24.00	\$11.00
2 Years	\$55.00	\$28.00	\$9.00
5 Years	\$90.00	\$45.00	\$6.00
10 Years	\$180.00	\$70.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples (+4.05% 5D), Real Estate (+3.40% 5D)

COLD SECTORS: Communication Services (-0.95% 5D), Energy (-0.78% 5D)

ROTATION WATCH: Leadership in Staples/Real Estate alongside weak Comm Services signals defensive rotation and risk-off positioning — an unfavorable backdrop for speculative high-beta names like RGTI in the near term.

BYPRODUCT PLAY: Government quantum funding tailwinds spill into adjacent cryogenic/control-system suppliers and HPC infrastructure names; large-cap proxies (IBM, GOOGL, MSFT) offer lower-volatility exposure to the same theme.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ Inc.): Zacks flagging profit-taking implies IONQ has materially outpaced peers YTD, making it the quantum sector benchmark.
- QBTS (D-Wave Quantum): Co-recipient narrative in Motley Fool's \$100M government funding piece — annealing-based commercial revenue inflection has outpaced gate-model peers.

RGTI CONTEXT: RGTI is lagging — at 19% of its 52-week range vs IONQ trading near profit-taking levels, the relative weakness suggests Rigetti is viewed as the lower-conviction name within the quantum cohort despite comparable government funding optionality.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$15-17 on pullbacks; avoid chasing above \$22

Time Horizon: 12-24 months

Thesis Invalidation: Failure to scale Novera/84-qubit roadmap or loss of DARPA/government contract milestones

Hedging: Pair long RGTI vs short IONQ at richer EV/Revenue multiple